BREAKWAVE ADVISORS

Dry Bulk Shipping

Bi-Weekly Industry Report

October 28, 2025

- **Continuing Changes in Trade Policies Dominate Dry Bulk Headlines –** Political and global **trade policies continue to shape freight sentiment**, with the current discussion centering on agricultural products in the most recent. A potential US-China trade agreement, whatever its scope, has **improved sentiment** in the dry bulk sector, particularly for grain-focused Panamax and Supramax segments. Although **US agricultural exports have diminished** in importance for global freight trading, any meaningful, even if brief, adjustment could positively impact fourth-quarter spot rates. We consider such an outcome unlikely, but possible. In the Capesize segment, where iron ore and coal dominate volumes, we are within a historically strong period, though the **second half of October** has often been the **weakest portion** of the fourth quarter. Yet, our base case scenario calls for a pickup in spot activity in early-to-mid November. Since freight futures for the remainder of the year are **essentially flat versus current spot rates**, a rise in activity could push rates back into the high-20,000s fairly quickly. Absent concrete signs of improvement, however, the near-term direction of rates and freight futures looks to remain down for the next few weeks until sentiment begins to turn.

- **China Steel Production Remains Depressed While Steel Inventories Rise –** Iron ore imports into China have recovered and are showing a flattish year-over-year change, while **steel production remains below** last year's levels. Iron ore inventories have declined, suggesting higher ore consumption in steelmaking, or the use of lower-grade ore, as indicated by the parallel trends in steel output. In September, China's **iron ore imports** reached a monthly **record** 116 million tonnes, whereas steel production fell to its lowest rate since December 2023. These apparent discrepancies typically converge over time due to the significant lead times in the steelmaking process. However, with a 12-month run rate of steel production remaining flat, a meaningful uptick in iron ore imports is unlikely, as imports have now been running at an annualized rate of about 1.2 billion tonnes for a while. Overall, we **continue to view the iron ore market as oversupplied**. With additional production anticipated from West Africa and approaching export timing, a tighter iron ore market appears unlikely in the near term.

- **Our Long-term View –** The last few years have been characterized by increased geopolitical uncertainty. Going forward, we expect such events to continue to affect global trade and have a meaningful impact on effective vessel supply. Combined with the potential for a multi-year cyclical rebound in China's economic activity following the recent economic turmoil, dry bulk shipping should experience higher volatility on top of a secular tightness driven by stable bulk commodity demand and a slower fleet growth owing to a relatively low orderbook.

Short-term Indicators	
Momentum:	Negative
Sentiment:	Neutral
Fundamentals:	Neutral

Breakwave Dry Futures Index:	1799
30D: -11.4%	↓
YTD: 77.4%	↑
YOY: 22.9%	↑

Baltic Dry Index (spot):	1976
30D: -12.5%	↓
YTD: 98.2%	↑
YOY: 40.1%	↑

Reuters:	BDRY.K
Bloomberg:	BDRY US
Exchange:	NYSE

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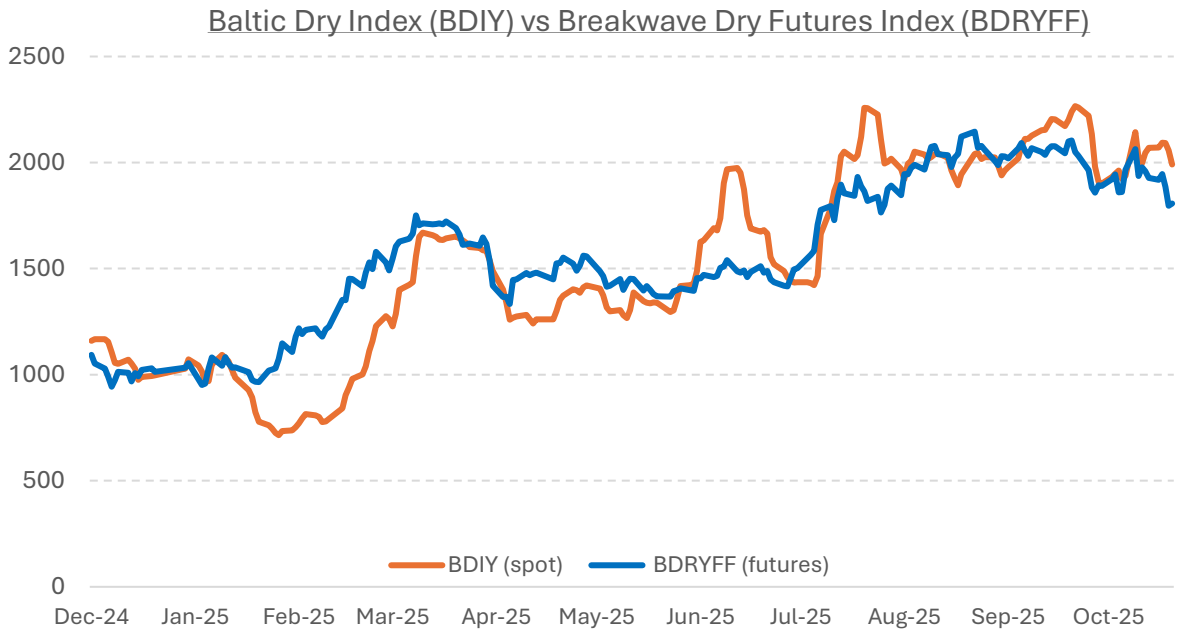

The Baltic Dry Index (BDI) measures the average spot rates for dry bulk freight with a sector weighting of 40% Capesize, 30% Panamax and 30% Supramax. The Breakwave Dry Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 50% Capesize, 40% Panamax and 10% Supramax and a weighted average maturity of approximately 50-70 days.

Dry Bulk Fundamentals

Demand	YTD	YOY
China Steel Production	746mt	-2.9%
China Steel Inventories	4.6mt	55.4%
China Iron Ore Inventories	134mt	-9.5%
China Iron Ore Imports	919mt	-0.1%
China Coal Imports	346mt	-11.1%
China Soybean Imports	86mt	5.3%
Brazil Iron Ore Exports	302mt	4.5%
Australia Iron Ore Exports	599mt	-0.5%

Supply		
Dry Bulk Fleet	1061 mdwt	3.1%

Freight Rates		
Baltic Dry Index, Average	1,568	-14.6%
Capesize Spot Rates, Average	19,373	-18.6%
Panamax Spot rates, Average	11,473	-15.7%

Note: *All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals*
Sources: *Bloomberg, IEA, Clarksons and Breakwave Advisors*

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